

Standard Lease Categories

How Lease Type and Lease Costs Relate

The lease type will determine what's included in the tenant's rent. **Costs associated with most leases include:**

- Nets
- Base rent
- Services

Standard Leases

Leases fall into two standard categories-gross and net-and they can be differentiated by how they apportion the three major net expenses.

Gross Lease

This is the simplest lease form. The landlord pays all expenses related to the property. Taxes, insurance, and maintenance are either made part of the lease payment or are included in the base rent (they are not separated out).

- A modified gross lease is often referred to as an MG. Here, some of the nets are included in the base rent and are not billed separately. Unlike a triple net lease, this agreement includes one or two of the nets as part of the base rent.

Net Lease

The tenant pays some or all of these expenses related to the property separately from the base rent.

- With a net or double net lease, the tenant pays one or two of these net expenses, but not all three.
- A **triple** net lease, referred to as NNN, is one in which the tenant pays all net expenses related to the property in addition to the base rent. Rent is usually kept low, as the tenant is also paying most of the other costs associated with the property. This type of lease is often used with warehouses properties.
- The **absolute** net lease is a rare triple net lease, with no legal defenses for the tenant if the tenant fails to meet lease payment obligations. For example, a triple net lease may relieve the tenant of payment responsibility if the property is subject to an eminent domain proceeding, while an absolute net lease does not.

Major Net Expenses

Three Major Net Expenses

- Property taxes
- Property insurance
- Common area maintenance (CAM)

It's easy to remember these net expenses by using the acronym TIM, which stands for taxes, insurance, and maintenance